

2%

the US federal
government's
target level of
inflation

CAUSES OF DEMAND-PULL INFLATION

When an economy expands too rapidly, or unsustainably, an excess money supply can cause customer demand to overtake the supply of goods and services. An increase in spending is caused by several factors.

- › **Monetary policy** A cut in interest rates leading to a relaxation of loan restrictions can increase money supply, leading to more borrowing and spending.
- › **Government spending** Increased investment and spending by the state can expand the money supply, resulting in consumer activity.
- › **Lower tax** A decrease in direct or indirect taxes can increase income.
- › **Consumer confidence** If consumers and companies feel confident about the future, they may spend money they would otherwise have saved.
- › **Property prices** High house prices can cause home owners to feel more wealthy, increasing their willingness to spend and thus their demand for consumer goods.
- › **Rapid growth abroad** High export sales can increase the amount of money flowing into the country, with a ripple effect on inflation.



Effective demand

The rise in customer demand has an impact on the product's price, as it is an "effective demand": customers have the income to meet a higher price point and are willing to pay more for a product they perceive as valuable.

Prices increase

With an increased money supply and high consumer confidence, customers seem willing to pay more for a limited supply of the product, so the company increases its price. How high a price rises depends on consumer demand for the product; if price elasticity of demand is inelastic—the item is something that customers need and cannot do without—the price point may be pushed higher.

Rising rate of inflation

If consumer spending increases generally across the economy, and businesses respond by raising prices, rather than output, then a higher rate of inflation will result.